

OIL & PETROLEUM PRODUCTS

Shifting Barrels

India's pivot from Russian oil may be manageable operationally, but brings the threat of costlier imports and a more delicate geopolitical balance

India's gradual move away from Russian crude—a condition of the interim India–US trade pact—is unlikely to trigger an immediate supply shock. Yet the shift could inflate the country's import bill over time and introduce fresh complexity into a long-standing diplomatic partnership with Moscow.

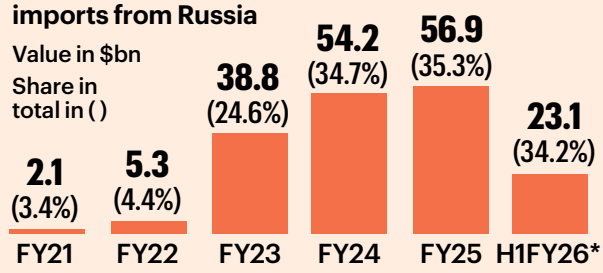
The stakes are substantial. India imports nearly 90 per cent of its crude requirement and purchased $161 billion (Rs 14.6 lakh crore) worth of oil in FY25. Russia alone accounted for $56.9 billion (Rs 5.2 lakh crore), making it the country's largest supplier. But imports are already tapering under US pressure: in the first half of FY26, purchases from Russia stood at $23.1 billion (Rs 2.1 lakh crore), a 14 per cent year-on-year fall.

The US had imposed a 25 per cent penalty on Indian exports for continuing to receive Russian oil, on top of the 25 per cent reciprocal tariffs that President Donald Trump had announced in early 2025. Under the interim arrangement, those penalties have been withdrawn and tariffs reduced to 18 per cent—conditional on India halting Russian imports while expanding purchases from the US, which has also pledged to channel Venezuelan crude into global markets. Domestically, the Opposition has seized upon the issue. Rahul Gandhi argued on February 11 that India should have prioritised energy security rather than yielding to external pressure.

CHANGING CRUDE REALITIES

Having risen sharply on discounted rates, crude imports from Russia are beginning to taper under US pressure, as West Asian and other suppliers move to fill the gap

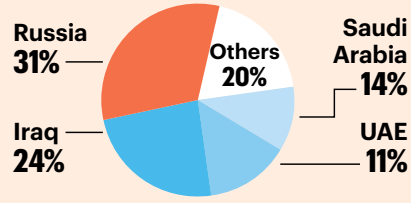
India's oil & petroleum products imports from Russia



**The first half of FY26 saw a 14 per cent year-on-year decline*
Sources: Ministry of Commerce; Petroleum Planning & Analysis Cell

India's top oil suppliers in Dec. 2025

Source: Kpler





"Which country we will buy oil from will depend on the economics of that time—who is offering us what at what price"

—PRASHANT VASISHT
Senior Vice-President & Co-Group Head, Corporate Ratings, ICRA

From an operational standpoint, analysts see manageable risks. Prashant Vasisht, senior vice-president and co-group head for corporate ratings at ICRA, says that replacing Russian barrels would not be difficult "since we are the third largest importer and most of our refineries are able to process any type of crude". Geography, too, works in India's favour, he adds. Potential alternatives include West Asian nations such as Kuwait, Iraq and Saudi Arabia, African exporters like Nigeria, Brazil, and finally the US, which already supplies about 6 per cent of India's crude. American shipments have in fact been rising—$14.3 billion (Rs 1.3 lakh crore) in FY25 and $8.3 billion (Rs 75,200 crore) so far in FY26. Ultimately, Vasisht adds, purchasing decisions will hinge on "the economics of that time—who is offering us what at what price".

THE COST CONCERN

Cost, however, remains the central concern. Data and analytics firm Kpler estimates that eliminating Russian crude could raise India's annual import bill by $9–11 billion (Rs 81,500 crore–Rs 1 lakh crore). The country had already spent $80.9 billion (Rs 7.3 lakh crore) on crude between April and November 2025. Companies heavily exposed to discounted Russian oil, notably Reliance, are navigating a more constrained trading environment.

The reversal is striking when viewed against recent history. Before FY22, Russia accounted for barely 3 per cent of India's imports. After US sanctions followed the Ukraine invasion, Moscow offered steep discounts, pushing its share to about 25 per cent in FY23 and nearly 35 per cent thereafter. Those concessions—averaging 14 per cent in FY23 and 10.4 per cent in FY24—saved India roughly $5 billion (Rs 45,300 crore) annually, about 3–4 per cent of its crude bill. By October 2025, however, the discount had narrowed to just $2 (Rs 181) a barrel. For India, the emerging equation is about preserving strategic autonomy while navigating an increasingly polarised energy landscape.

—M.G. Arun